PRINCE2®

Unlock
exclusive benefits
with PeopleCert Plus!

Join Now!

PRINCE2®
Project Management
Foundation
VERSION 7

Quick Reference Guide

PeopleCert

Official Training Materials

PRINCE2®
Project Management
Foundation VERSION 7

Quick Reference Guide

Published by PeopleCert International Limited
Published in Cyprus
Publication printed in Greece or reproduced electronically in Greece

Version 7.2 (April 2025)
Version 7.1 (2023)
Version 7.0 (2023)

Copyright © 2023-2025 PeopleCert International Limited and its affiliates ("PeopleCert")
All rights reserved. No part of this document or the information in it may be copied, distributed, disclosed or used other than as authorized by PeopleCert. Information identified as being under a Creative Commons license may be used in accordance with that license. ITIL®, PRINCE2®, DEVOPS INSTITUTE®, LANGUAGECERT®, and the Swirl logo are registered trademarks of PeopleCert.

Disclaimer
This publication is designed to provide helpful information to the recipient. Although care has been taken by PeopleCert in preparation of this publication, no representation or warranty (either express or implied) is given by PeopleCert with respect to the completeness, accuracy or suitability of the information or advice contained within it, and PeopleCert shall not be held responsible for any loss or damage whatsoever relating to such information
or advice.

Introduction

PRINCE2® Project Management Foundation is intended for project managers and aspiring project managers. It is also relevant to other key staff involved in the design, development, and delivery of projects, including project board members, team managers, project assurance, project support, and operational line managers/staff.

The PRINCE2® Project Management Foundation examination is intended to assess whether a candidate can recall and understand the PRINCE2 Project Management method (as described in the syllabus). PRINCE2® Project Management Foundation is a prerequisite for the PRINCE2® Project Management Practitioner exam, which assesses the ability to apply understanding of the PRINCE2 Project Management method in context.

What you will learn

- **Key concepts relating to projects and PRINCE2 Project Management**
- **How PRINCE2 Project Management principles underpin the PRINCE2 Project Management method**
- **PRINCE2 Project Management practices and how they are applied through projects**
- **PRINCE2 Project Management processes and how they are carried out throughout projects**

The PRINCE2 Project Management Foundation exam[1] is a 60 multiple-choice question (MCQ) exam and requires a candidate to obtain 60% (36 questions) correct or more to pass.

The Quick Reference Guide (QRG) is a summarized version of the examinable content. Designed as a handy reference to facilitate exam preparation, it aligns with the syllabus structure: each numbered section in the QRG corresponds to the same-numbered "Learning Outcome" in the Syllabus. Please note that the use of the QRG does not guarantee passing the exam.

1. The name of this certification will be changing. The exam will remain as PRINCE2 7 Foundation in PeopleCert examination systems until 31 December 2025. Thereafter, this exam will be referred to by its new full name PRINCE2 Project Management Foundation.



1. Key concepts relating to projects and PRINCE2 Project Management

1.1 The definition and characteristics of a project

Project: a temporary organization that is created for the purpose of delivering one or more business products according to an agreed business case.

Characteristics of a project that distinguish project work from business as usual:

Characteristics	Description
Change	The means by which we introduce change.
Temporary	The desired change has been implemented, business as usual resumes (in its new form), and the need for the project is removed.
Cross-functional	A project involves a team of people with different skills working together (on a temporary basis) to introduce a change that will impact others outside the team.
Unique	Every project is unique. An organization may undertake many similar projects and establish a familiar, proven pattern of project activity, but each one will differ in a certain way.
Uncertainty	These characteristics will introduce threats and opportunities over and above those typically encountered within business as usual.

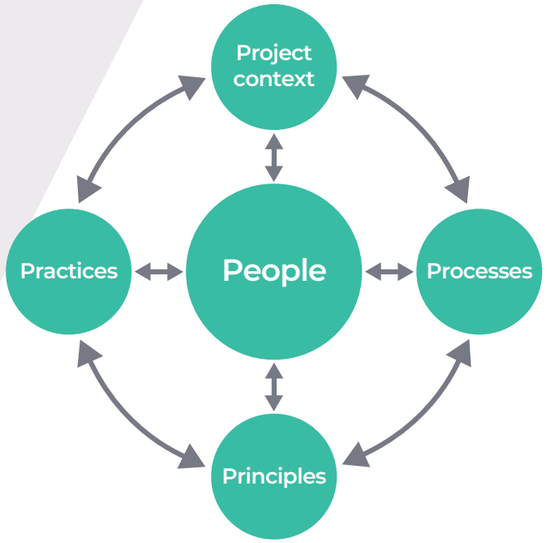


Figure 1.1 The five interrelated elements of PRINCE2 Project Management

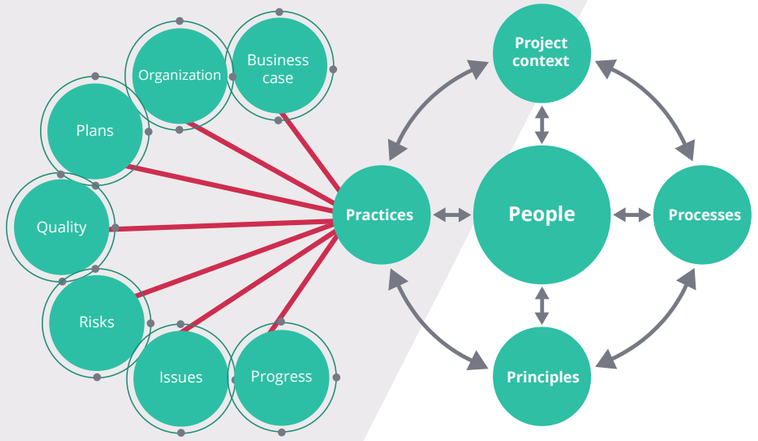
1.2 The seven aspects of project performance to be managed

- **Benefits:** who are we doing it for? The project management team must have a clear understanding of the purpose of the project and what needs to be achieved to justify its investment.
- **Costs:** many factors can affect the cost/budget available or may lead to (potential) underspend or overspend against the cost budget. The project has to be affordable.
- **Time:** when will the project start, when will the key products be delivered, and when will the project finish?
- **Quality:** finishing on time and within budget is not much consolation if the result of the project is not as specified or does not work. What is delivered by the project must be fit for purpose.
- **Scope:** the degree to which it is permissible to under-deliver or over-deliver benefits (realized or estimated).
- **Sustainability:** all projects have an impact on their environment, and project management teams need to know the sustainability performance targets for the project work and for the products required of the project.
- **Risk:** limits on the plan's aggregated risks.

1.3 The five integrated elements of PRINCE2 Project Management

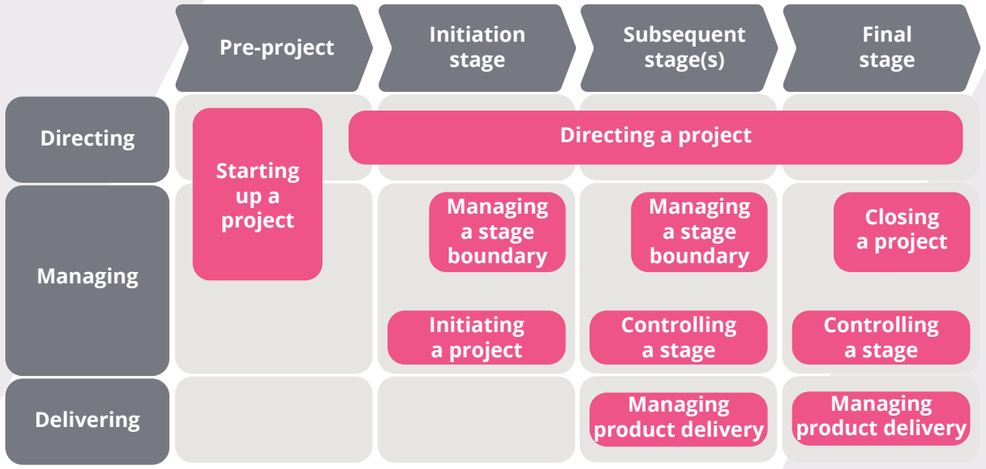
- **The seven principles of PRINCE2 Project Management:** the seven principles are the guiding obligations and good practices which determine whether the project is genuinely being managed using PRINCE2 Project Management. Unless these following principles are applied, it is not a PRINCE2 Project Management project:
  - Ensure continued business justification.
  - Learn from experience.
  - Define roles, responsibilities and relationships.
  - Manage by stages.
  - Manage by exception.
  - Focus on products.
  - Tailor to suit the project.
- **People:** an understanding of the needs, capabilities, and motivations of the people involved and the relationships between them is crucial to how the project is established and managed. People are at the centre of the PRINCE2 Project Management method.
- **PRINCE2 Project Management practices:** these seven practices describe essential aspects of project management that must be applied consistently and throughout the project lifecycle.





Adapted from Figure 1.1 The five integrated elements of PRINCE2 Project Management

- **PRINCE2 Project Management processes:** these seven processes in PRINCE2 Project Management provide the set of activities required to direct, manage, and deliver a project successfully:
  - Starting up a project.
  - Directing a project.
  - Initiating a project.
  - Controlling a stage.
  - Managing product delivery.
  - Managing a stage boundary.
  - Closing a project.
- **The project context:** PRINCE2 Project Management has been designed so it can work within any context including organizational and commercial context, delivery method, sustainability requirements, and project scale. The principles, practices, and processes are applied by the people involved to ensure that the method is fit for the project context.



Note
- Starting up a project is used by both the directing and managing levels.
- There should be at least two stages, the first of which is the initiation stage.
- Managing a stage boundary is first used at the end of the initiation stage and repeated at the end of each subsequent stage except the final stage. It is also used to prepare exception plans, which can be done at any time including in the final stage.

Figure 12.1 The PRINCE2 Project Management processes

1.4 The features and benefits of PRINCE2 Project Management

As PRINCE2 Project Management is flexible and based on proven principles, organizations adopting the method as a standard can substantially improve their organizational capability and maturity across multiple areas of business activity.

In addition to being an established method and qualification used worldwide, PRINCE2 Project Management has the following benefits:

- **Proven:** based on established and proven practice and governance for project management.
- **Universal:** can be applied to any project, of any scale, and easily implemented alongside specialist, industry-specific models.
- **Flexible:** can be tailored to meet the specific needs of the organizations involved.
- **Common language and concepts:** widely recognized and provides a common vocabulary for all participants.
- **Outcome-focused:** ensures that project participants focus on the viability of the project in relation to its business case objectives.
- **Increased organizational maturity:** promotes learning and continual improvement.
- **Part of an integrated suite of methods:** designed to work with other PeopleCert guides on programme, portfolio, and risk management.

1.5 The organizational context

The PRINCE2 Project Management method does not assume any specific organizational context. There may be **users** who specify the desired outputs (referred to as products in PRINCE2 Project Management), **suppliers** who will provide the resources and expertise to deliver the products, and **business decision-makers** who will ensure that the project investment can be justified and remains justified through the project lifecycle.

The project may be part of a programme or portfolio structure, or it may be a standalone project reporting to the business unit's management structure.



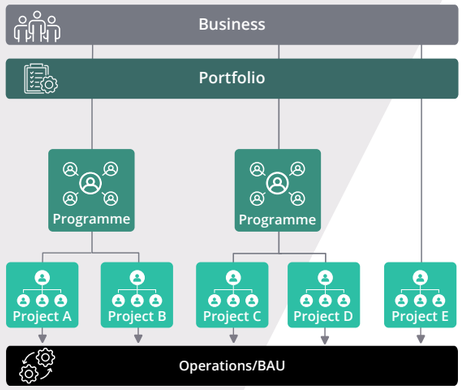


Figure 1.2 Projects within organizational context

2. How PRINCE2 Project Management principles underpin the PRINCE2 Project Management method

2.1 Ensure continued business justification

A PRINCE2 Project Management project has business justification sufficient to warrant investment to initiate the project and ongoing investment through to successful completion. If it does not, it should be stopped.

2.2 Learn from experience

A PRINCE2 Project Management project team actively seeks, records, and implements improvements as a result of relevant lessons learned from prior projects and throughout the life of the project. It applies them in future projects and shares them for others to apply.

2.3 Defined roles and responsibilities

A PRINCE2 Project Management project has defined and agreed roles and responsibilities within an organization structure that engages the business, user, and supplier stakeholder interests. Moreover, a PRINCE2 Project Management team initiates and builds relationships with and between internal and external stakeholders.

2.4 Manage by stages

A PRINCE2 Project Management project is planned, monitored, and controlled on a stage-by-stage basis.

2.5 Manage by exception

A PRINCE2 Project Management project establishes limits of delegated authority by defining tolerances for performance against its plans.

2.6 Focus on products

A PRINCE2 Project Management project focuses on the definition and delivery of products, in particular their user quality expectations and requirements.

2.7 Tailor to suit the project

A PRINCE2 Project Management project applies and tailors the PRINCE2 method to suit the project environment, size, complexity, importance, delivery method, team capability, and level of risk.

3. People in PRINCE2 Project Management

People are central to the PRINCE2 Project Management method. The purpose of a project is to deliver change, which will affect people in their Business as Usual (BAU) activities, routines, and responsibilities. How well the change is implemented, and therefore how well the project performs, depends on the capabilities of the project team, the strength of the relationships between them, and the people impacted by the change.

In PRINCE2 Project Management, 'people' covers those who are working on a project and the relationships between them, as well as those impacted by a project.



Figure 3.3 People central to the method



3.1 Leading a successful change

Change management is the means by which an organization transitions from the current state to the target state. Effective leadership is required to deliver this change.

PRINCE2 Project Management addresses change by creating and maintaining a change management approach for the project.

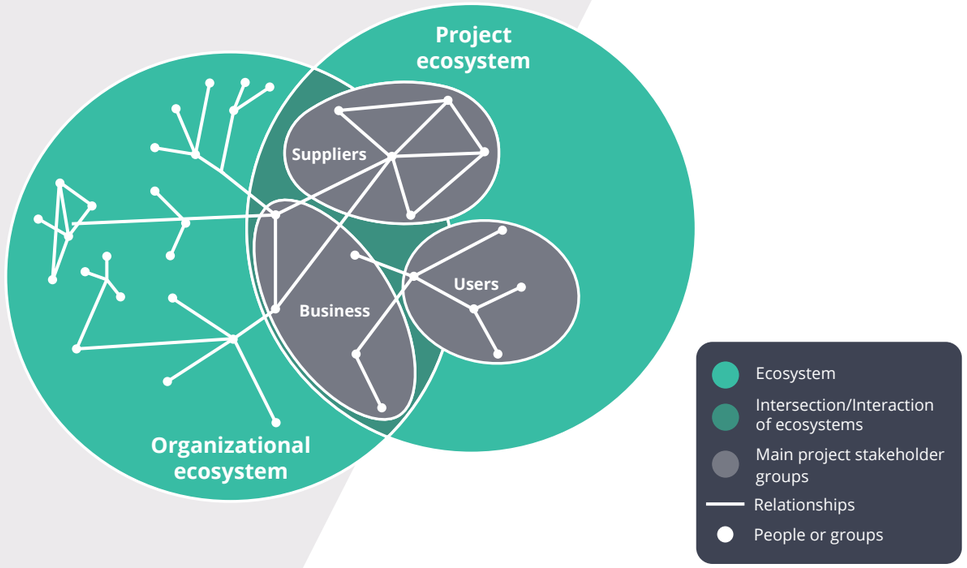


Figure 3.2 The three project interests

Projects will impact people or stakeholders from across the organizational ecosystem.

A **stakeholder** is any individual, group, or organization that can affect or be affected by (or perceives itself to be affected by) the project.

Therefore, a project will need to involve those with a formal role in the project team as well as key people either impacted by or critical to the success of the project (who may not hold a formal role).

3.2 Leading successful teams

Projects are delivered by people in a temporary team, typically working across organizational boundaries. This means that project teams require a different style of management and leadership than that used for established business teams, as it can be more challenging for a temporary leader or manager to exercise their authority.

3.3 Managing successful teams

- **Cultural intelligence** or the ability to relate and work across cultures within the organizational ecosystem.
- **Competencies and capabilities** of those assigned to the project to identify and mitigate gaps.
- **Team building** to build trust and find compatible ways of working.
- **Bringing teams together** and building social cohesion within teams that are co-located, or have virtual or hybrid working arrangements.

3.4 Communication

Communication is important to avoid misconceptions and unnecessary barriers in implementing changes.

PRINCE2 Project Management addresses communication in a communication management approach. This defines and describes the means and frequency of communication with and receiving feedback from across the project ecosystem, supporting alignment and shaping of the project. It facilitates engagement with stakeholders through the establishment of a controlled and bidirectional flow of information.

How project teams communicate will also depend on whether they are co-located, remote, or hybrid.

4. PRINCE2 Project Management practices and how they are applied throughout projects

4.1 Business case

The purpose of the business case practice is to establish mechanisms to judge whether the project is (and remains) desirable, viable, and achievable as a means to support decision making in its continued investment.

4.1.1 Key concepts related to business case

- **Capability:** the completed set of project outputs required to deliver an outcome.
- **Output:** the tangible or intangible deliverable of an activity.
- **Outcome:** the result of change, normally affecting real-world behaviour and circumstances. Changes are implemented to achieve outcomes, which are achieved as a result of the activities undertaken to facilitate the change.
- **Benefit:** the measurable improvement resulting from an outcome that is perceived as an advantage by the investing organization and contributes towards one or more business objectives.
- **Dis-benefit:** the measurable decline resulting from an outcome perceived as negative by the investing organization, which detracts from one or more business objectives.
- **Business objective:** the measurable outcomes that demonstrate progress in relation to the organization's strategy and to which the project should contribute.



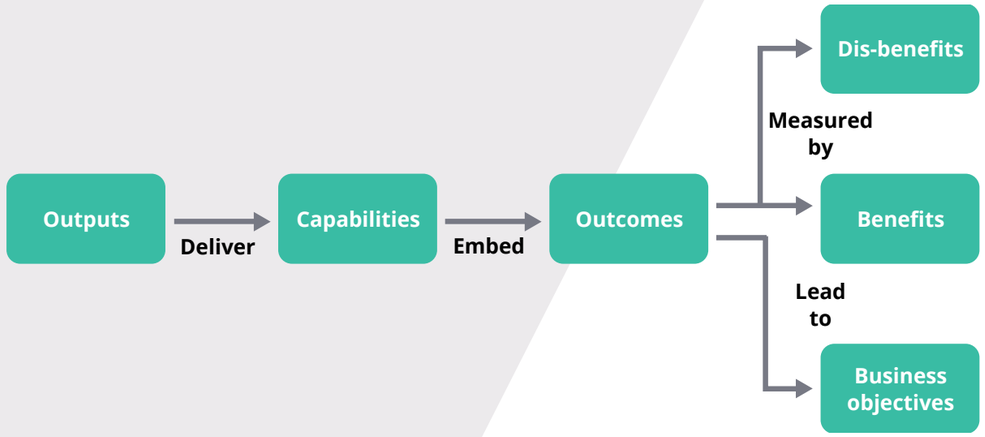


Figure 5.1 Relationship between outputs, outcomes, and benefits

Business case: documents the business justification for undertaking a project, based on the estimated costs against the expected benefits to be gained and offset by any associated risks.

Benefits management approach: defines the management actions that will be established to ensure that the project's outcomes are achieved and to confirm that the project's benefits are realized.

Sustainability management approach: defines the actions, reviews, and controls that will be established to ensure that sustainability performance targets for the project are achieved.

4.1.2 PRINCE2 Project Management technique for business case management

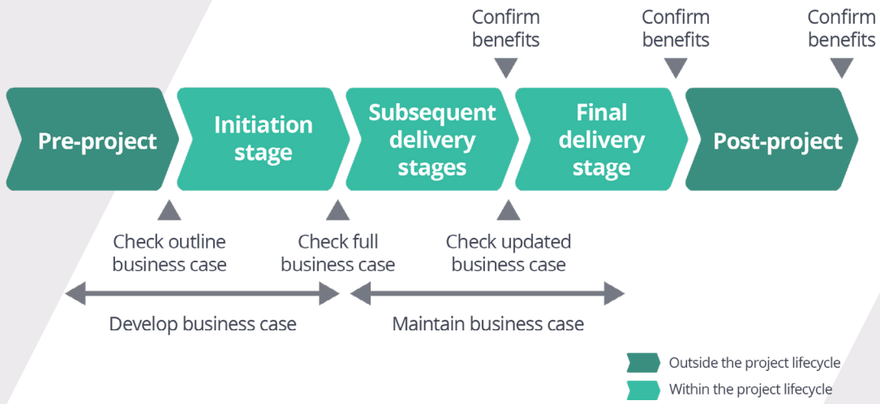


Figure 5.3 Business case through the project lifecycle

4.2 Organization

The purpose of the organization practice is to define and establish the project's structure of accountability and responsibilities (the 'who').

The PRINCE2 Project Management method focuses on three principal categories of project stakeholders (business, user, and supplier) and includes them in the governance and management arrangements for the project.

- **Business:** projects are created to meet a business need, which needs to be continuously justified as value for money throughout the lifetime of the project. PRINCE2 Project Management defines a project executive role to represent this viewpoint on the project.
- **User:** the products of a project should provide benefits to a defined set of users who support both defining the requirements of the product and ensuring these requirements are met. Users can sit within the business as end users, be impacted by the project, or have a role in operating or maintaining the products. Users can also sit outside of the business as end users or be impacted by the outputs of the project. PRINCE2 Project Management defines a senior user role to represent user interests on the project.
- **Supplier:** projects require people with the necessary skills and knowledge to collaborate to deliver the products. They may come from within the organization, or external suppliers may be used for their skills and knowledge. PRINCE2 Project Management defines a senior supplier role to represent supplier interest on the project.

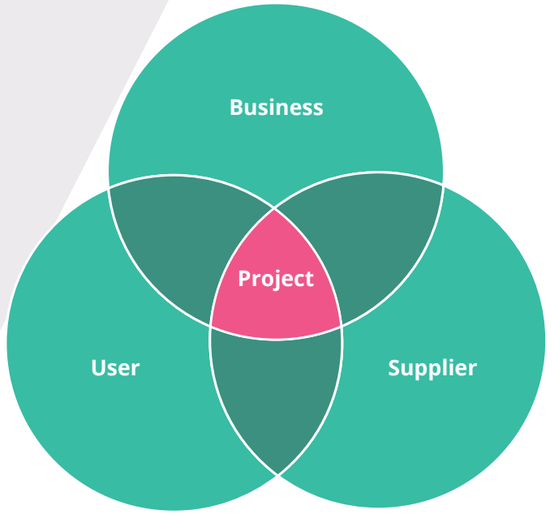


Figure 6.1 The three project stakeholder groups



4.2.1 PRINCE2 Project Management team structure

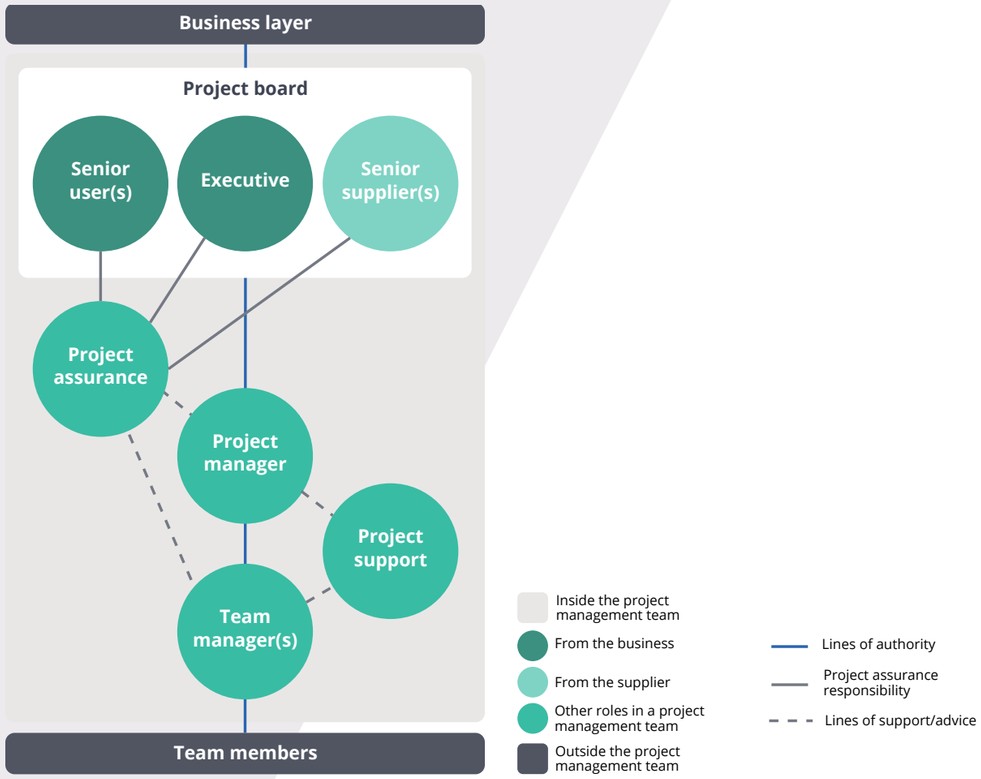


Figure 6.3 Project management team structure

The role and responsibilities of the project executive
Appointed by the business as the single point of accountability for the project, the project executive is ultimately accountable for the success of the project. This accountability cannot be delegated. The project executive secures funding for the project and is responsible for the business case and the continued business justification of the project. They are responsible for effectively governing the project in a way that is aligned to the business strategy, including ensuring longer-term thinking on topics such as environmental, social, and economic impacts. There cannot be more than one project executive and the role cannot be combined with the project manager.

The role and responsibilities of the senior user
The senior user represents the user community and is accountable for the approach taken to capture user requirements and for the specification of benefits aligned to the business case. The role is responsible for:

- ensuring user buy-in to the approach
- monitoring products against the requirements in line with the business case
- demonstrating to the business that the forecasted benefits in the business case are on track to being realized
- controlling change to requirements and benefits
- successful handover and adoption of products into the business.

Depending on the scale and complexity of the user community, more than one person may represent users.

The role and responsibilities of the senior supplier
The senior supplier represents the supplier community that is involved in all aspects of delivering the project products, and must ensure sufficient ongoing commitment of people and resources from the supplier to support the project work. The senior supplier is accountable for the quality of the products delivered by the suppliers and for the technical integrity of the project. Depending on the scale and complexity of the supplier community, more than one person may represent suppliers.

The roles and responsibilities of the project board
The project board is accountable to the business for the success of the project and has authority and responsibility for the project within the project tolerances set by the business, often captured in a project mandate. They are responsible for creating the right environment for the project to succeed, including:

- having sufficient funding, people, and resources to deliver the project objectives
- establishing clear feedback loops to support adapting and evolving the project
- assuring all aspects of the project's performance and products independently of the project manager
- ensuring business strategy and objectives are reflected in the business case
- ensuring the project and its management approaches are aligned to the business' environmental, social, and governance (ESG) commitments
- setting stage tolerances to enable management by exception
- governing the project and determining the rules, constraints, shared values, and perspectives needed to guide decision making at all levels
- establishing the tolerances and change budget to support effective decision making
- focusing on the safety and wellbeing of the project team
- monitoring and supporting social cohesion within the project ecosystem
- managing relationships at the interface of the organizational ecosystem and project ecosystem.

The role and responsibilities of the project manager
The project manager has the authority to run the project on behalf of the project board within the agreed project tolerances and constraints. They are responsible for day-to-day management of a project, including:

- managing and delegating the work to the team managers or team members
- setting the work package tolerances and constraints for the team managers and project support roles to work within
- ensuring decisions are being made in line with the project board guidance and tolerances
- managing relationships within the project ecosystem
- monitoring and supporting the safety and wellbeing of team members and the sustainability of the project approach.

Depending on the scale and complexity of the project, and the skill and capacity of the project manager, the project manager may also perform the team manager and project support roles or delegate these directly to team members.



The role and responsibilities of the team manager
Team managers are responsible for delivering the work allocated to them within the tolerances and constraints agreed with the project manager through:

- delivering the products to the agreed specifications
- setting the tolerances and constraints for team members to work within
- ensuring team decisions are in line with the project manager's guidance and the tolerances
- managing relationships both within their team and any interfaces with others
- monitoring and supporting the safety and wellbeing of team members and the sustainability of the team's approach.

The role and responsibilities of project assurance
Project board members are accountable for the assurance of their respective areas of concern. The project board is responsible for establishing how project assurance will be undertaken, ensuring clarity in the roles and responsibilities and how those appointed to assurance roles will interact with each other.

The role and responsibilities of project support
Project support is responsible for providing services, such as administrative support, facilitating meetings and workshops, advice and guidance on the project tools, planning support, risk management, issue management, and change management. Although the role is the responsibility of the project manager, it can be delegated to suppliers, individuals, or groups within the business, or to other team members. Project support must be kept separate from project assurance roles to maintain the independence of assurance.

4.2.2 Key concepts related to organization

Organizational levels
The project management structure has four levels, three of which represent the project management team and a fourth that sits outside the project.

The business layer
The commissioning party within the business is responsible for providing the project mandate, identifying the executive, and defining the project level tolerances within which the project board will work.

Directing
The project board has representations from the business, user, and supplier communities and is accountable for the success of the project. It is also responsible for the overall direction and management of the project within the constraints established by the commissioning party.

Managing
The project manager is responsible for the day-to-day management of the project within the constraints established by the project board. The project manager's primary responsibility is to manage the relationships within the project to ensure that the project produces the products in accordance with the strategic objectives and the agreed requirements.

Delivering
Team managers and members are responsible for the day-to-day management and decision making for their element of the project within the constraints established by the project manager, co-creating where required with other team members from across the project ecosystem.

Work breakdown structure
A hierarchy of all work to be done during a project that forms a link between the product breakdown structure and the work packages.

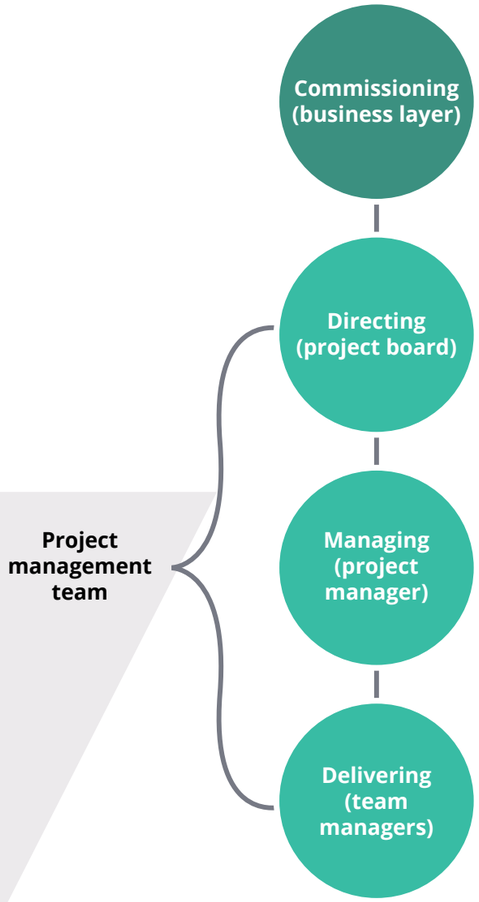


Figure 6.2 The four organizational layers



4.2.3 PRINCE2 Project Management technique for organizational design and development



Figure 6.4 PRINCE2 Project Management technique for organizational design and development

4.3 Plans

The purpose of the plans practice is to facilitate communication and control by defining the products to be delivered (the 'what') and the means to deliver them (the 'who', the 'how', the 'where', and estimates of the 'when' and for 'how much') to satisfy the project business case (the 'why').

Plan: a proposal that outlines the what, where, when, how, and who of the project as a whole (or a subset of its activities). In PRINCE2 Project Management, there are the following types of plan: project plan, stage plan, team plan, and exception plan.

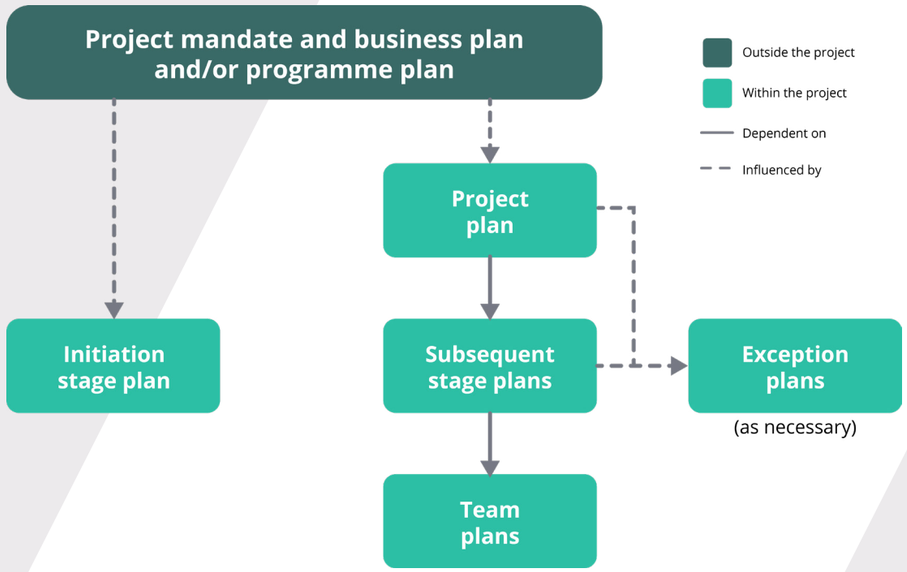


Figure 7.1 Relationship between PRINCE2 Project Management plans

Project plan: a high-level plan showing the major products of the project and when, how, and at what cost they will be delivered.

Stage plan: a detailed plan used as the basis for project management control throughout a stage.

Team plan: a plan used as the basis for organizing and controlling the work of a team when executing a work package. Team plans are optional in PRINCE2 Project Management.

Exception plan: a plan that follows an exception report and explains how the project will respond to the exception within the stage.

4.3.1 PRINCE2 Project Management technique for planning

The PRINCE2 Project Management technique leads to a plan based on the creation and delivery of the required products.

Product-based planning takes the definition and analysis of the required products as the starting point for planning and deriving any supporting elements of the plan from these product descriptions, such as the work breakdown structure, estimates, and project schedule.

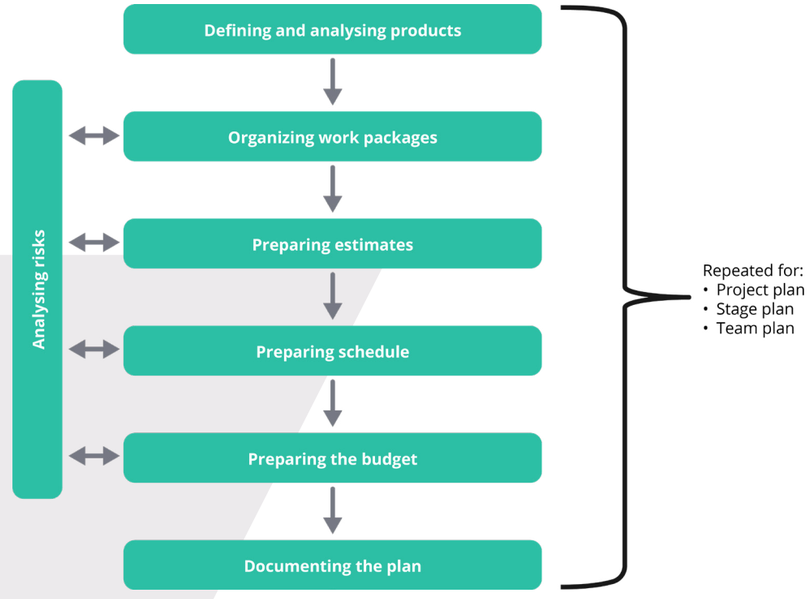


Figure 7.3 The PRINCE2 Project Management planning technique

PRINCE2 Project Management structures the management of the project on a stage-by-stage basis. Combined with the focus on products principle, managing by stages helps the project management team to plan and deliver what is required when it is required. The number of stages can vary, based on the nature of the products and the necessary delivery activities.



4.3.2 Defining and analysing products

Defining and analysing products comprises four steps as illustrated in Figure 7.4.

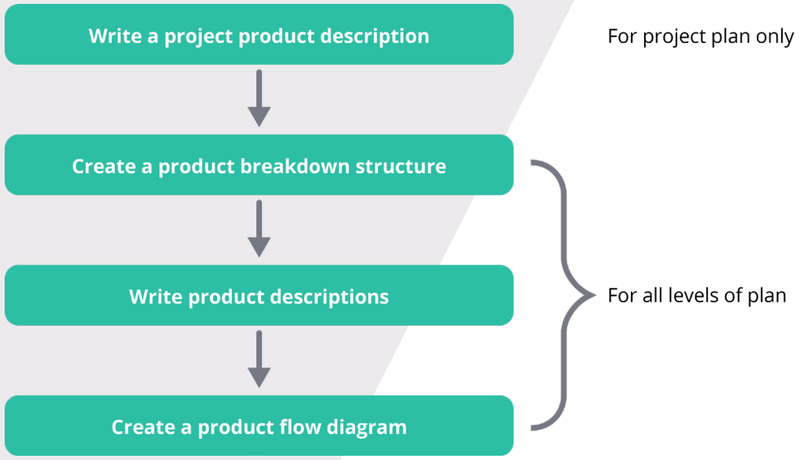


Figure 7.4 Defining and analysing products

Defining and analysing the products involves writing:

- **a project product description:** a description of the project's major products or outcomes, including the user's quality expectations, together with the acceptance criteria and acceptance methods for the project
- **a product breakdown structure:** a hierarchy of all the products to be produced during a plan.

4.4 Quality

The purpose of the quality practice is to document the user's requirements of the project products and to establish the means by which they will be met.

The quality management approach describes the quality techniques and standards to be applied and the roles and responsibilities for achieving the required quality specifications and acceptance criteria during a project.

4.4.1 Key quality terminology

Quality: the degree to which a set of inherent characteristics of a product, service, process, person, organization, system, or resource fulfils its requirements.

User's quality expectations: a statement about the quality expected from the project product, captured in the project product description.

Requirement: a need or expectation that is documented in an approved management product.

Acceptance criteria: a prioritized list of criteria that the project product must meet before the user will accept it.

Quality specifications: a description of the quality measures that will be applied by those performing quality control and the levels that the finished product must meet.

4.4.2 PRINCE2 Project Management quality management procedure

Quality management focuses on three elements:

- **Quality planning:** the capturing of quality specifications for the project products and generating the associated product descriptions and quality management approach.
- **Quality control:** the procedures to monitor the specific products of a project and their development or delivery activities to determine whether they comply with relevant standards, and to identify ways to minimize causes of unsatisfactory performance.
- **Quality assurance:** a planned and systematic activity that provides confidence that products will meet their defined quality specifications when tested under quality control. Quality assurance is typically a function managed independently from the project team.

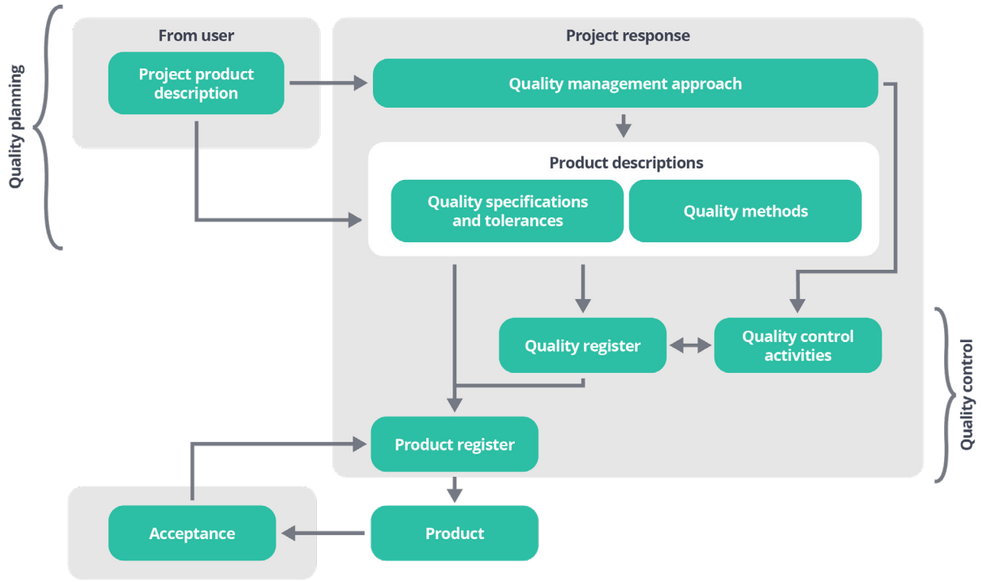


Figure 8.1 Product quality lifecycle



4.5 Risk

The purpose of the risk practice is to identify, assess, and control uncertainties that would affect the project's objectives, and, as a result, improve the ability of the project to succeed.

Risk: an uncertain event or set of events that, should they occur, will affect the achievement of objectives. A risk is measured by a combination of the probability of a perceived threat or opportunity occurring and the magnitude of its impact on objectives.

The risk management approach describes how risk will be managed on the project. This includes the specific procedures, techniques, standards, and responsibilities to be applied.

The risk register maintains a record of identified risks related to the project, including their status and history.

4.5.1 Risk management concepts

Risk owner: the person who is assigned to take responsibility for responding to a risk.

Risk action owner: the person who is the nominated owner of agreed actions to respond to a risk. This role is also known as the risk actionee.

Risk probability: the estimated chance that a risk will occur. Probability is often estimated by considering the likelihood or frequency of occurrence of a risk.

Risk impact: the estimated effect on objectives should a risk occur.

Risk proximity: how near in time a risk might occur.

Risk velocity: how quickly a risk would have an impact on objectives should it occur.

Risk exposure: the degree to which a particular objective is 'at risk'. Risk exposure is a neutral concept as exposure can be positive or negative.

Risk appetite: the amount and type of risk that the business is willing to take in pursuit of its objectives.

Risk budget: a sum of money to fund specific management responses to the project's threats and opportunities (for example, to cover the costs of any contingent plans should a risk materialize).

Risk tolerance: a measurable threshold to represent the tolerable range of outcomes for each objective 'at risk' using the same units as for measuring performance for that objective.

Risk response: the best actions to take in response to risks will depend on the particular situation and type of risk. Different responses may be appropriate for threats and opportunities. Risk response options include:

- avoid a threat/exploit an opportunity
- reduce a threat/enhance an opportunity
- transfer the risk
- share the risk
- accept the risk
- prepare contingent plans.

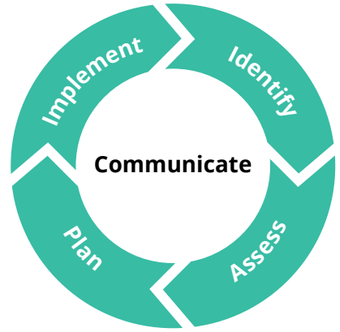


Figure 9.2 PRINCE2 Project Management technique for risk management

4.5.2 PRINCE2 Project Management technique for risk management

Identify: review the plan's context and objectives so that threats and opportunities can be identified.

Assess: prioritize risks and assess the combined risk profile.

Plan: decide on risk responses and monitoring arrangements.

Implement: establish monitoring arrangements and execute actions for priority risks or realized risks.

Communicate: communicate information regarding threats and opportunities within the project ecosystem and to external stakeholders where needed.

4.6 Issues

The purpose of the issues practice is to collect and assess issues and control changes to the project's baseline.

An issue is an unplanned event that has occurred and requires management action. There are different types of issues:

- **A problem:** an issue with an immediate and negative impact.
- **A concern:** an issue whose timelines and impact need to be assessed.
- **An event external to the project:** an issue that may impact the project in some way.
- **A business opportunity:** an issue that represents unanticipated positive consequences for the project or user organization.
- **A request for change:** a proposal for a change to a project baseline.
- **Off-specification:** a product that will not meet its quality specifications.



In PRINCE2 Project Management, issue management encompasses **change control.**

A change is defined as a modification to any of the approved products that constitute the project baseline.

A project baseline is the current approved versions of the management products and project products that are subject to change control.

Change budget is the money or authorized constraints set aside in a plan to cover changes. It is allocated by those with delegated authority to deliver authorized changes.

4.6.1 PRINCE2 Project Management technique for issue management

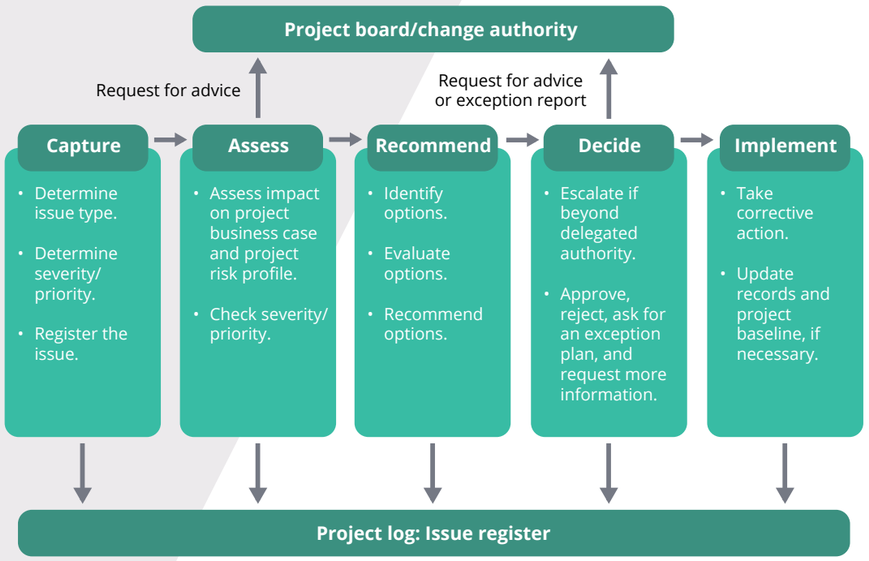


Figure 10.1 PRINCE2 Project Management technique for issue management

4.7 Progress

The purpose of the progress practice is to:
- establish mechanisms to monitor and compare actual achievements against those planned
- provide a forecast for the project's objectives and continued viability
- control any deviations causing an exception.

The progress management practice is based on an overarching plan-do-check-act cycle. Effective progress management includes:
- defining management levels and tolerances for progress control
- applying two types of control (event-driven and time-driven)
- reviewing progress and lessons
- reporting progress and lessons
- forecasting remaining work
- escalating
- using data.

4.7.1 Key concepts related to the progress practice

Management levels and tolerances for progress control are shown in Figure 11.2.

The project is managed by exception between four management levels against tolerances for seven performance targets.

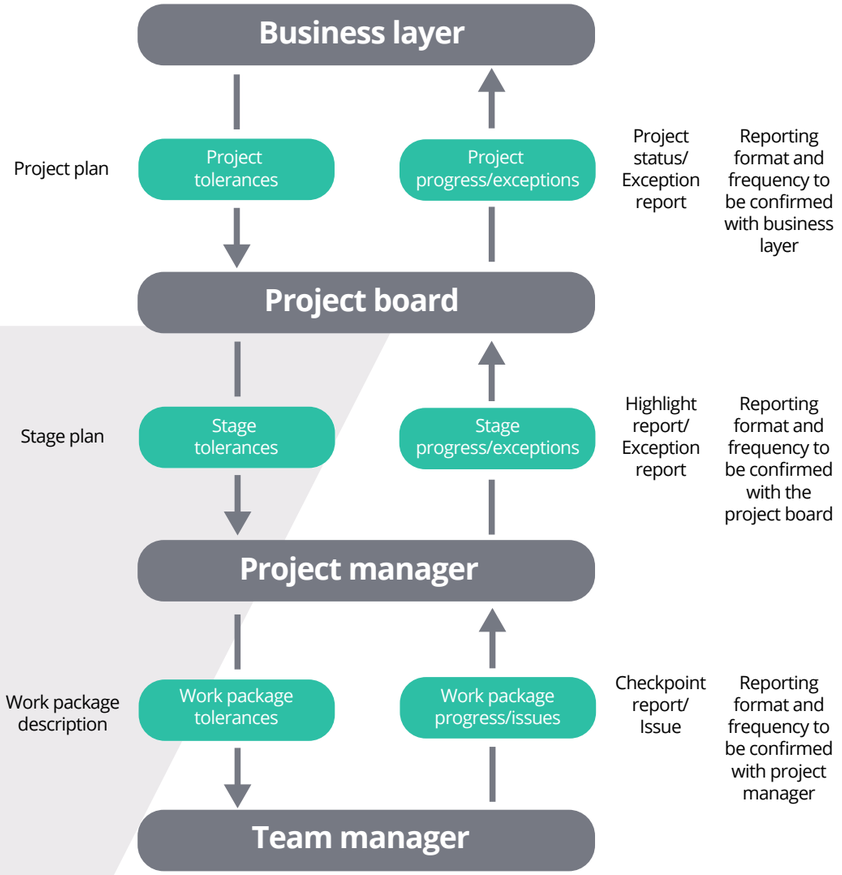


Figure 11.2 Delegating tolerance and reporting actual and forecast progress



The tolerance levels establish limits of delegated authority:

- **Benefits:** the degree to which it is permissible to under-deliver or over-deliver benefits (realized or estimated).
- **Costs:** the degree of permissible overspend or underspend against an agreed budget.
- **Time:** the degree to which a project is permitted to deliver later or earlier than an agreed target completion date.
- **Quality:** how much something can vary from agreed quality criteria.
- **Scope:** permissible variation of the plan's products.
- **Sustainability:** limits on the agreed metrics for sustainability.
- **Risk:** limits on the plan's aggregated risks.

4.7.2 Types of control

The PRINCE2 Project Management method provides two types of progress control throughout the life of a project: event-driven controls and time-driven controls.

Event-driven control: a control that occurs when a specific event occurs. For example:

- the end of a stage
- the completion of the project initiation documentation
- the creation of an exception report
- organizational events that may affect the project, such as the end of the financial year.

Time-driven control: a management control that occurs at predefined periodic intervals. For example:

- producing highlight reports for the project board
- checkpoint reports showing the progress of a work package.

4.7.3 Escalating exceptions

An **exception** is a situation where it can be forecast that there will be a deviation beyond the tolerance levels agreed between the project manager and the project board (or between the project board and business layer).

Work package-level exceptions

Team manager should inform the project manager by raising an issue.

Stage-level exceptions

Project manager should produce and issue report and then an exception report for the project board. The board may then request an exception plan or take other action.

Project-level exceptions

If project tolerances are forecast to be exceeded, the project board must refer this to the business layer for a decision.

4.7.4 PRINCE2 Project Management technique for exception management

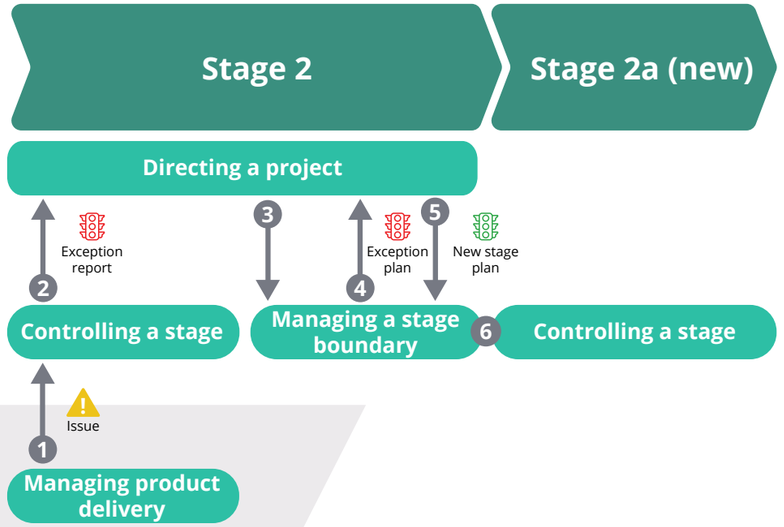


Figure 11.3 PRINCE2 Project Management technique for exception management

5. PRINCE2 Project Management processes and how they are carried out throughout projects

5.1 Starting up a project

The purpose of the process of starting up a project is to ensure that the prerequisites for initiating a project are established by answering the question, 'Do we have a viable and worthwhile project?' The decision to start the project must be explicit, as the activities within the process of starting up a project happen before this decision.

The project brief ensures that the project has a commonly understood and well-defined starting point.



The objectives of the process of starting up a project are to ensure that:

- there is a business justification for initiating the project (documented in an outline business case)
- all the necessary authorities exist for initiating the project (for example, to assign people and secure resources)
- sufficient information is available to define and confirm the scope of the project (in the form of a project brief)
- alternative approaches have been evaluated and the chosen project approach agreed
- individuals are appointed (who will undertake the work required in the initiation stage or take significant project management roles during the project)
- the work required for the initiation stage (documented in a stage plan) is planned
- time is not wasted initiating a project based on unsound assumptions regarding the project's scope, timescales, acceptance criteria, or constraints.

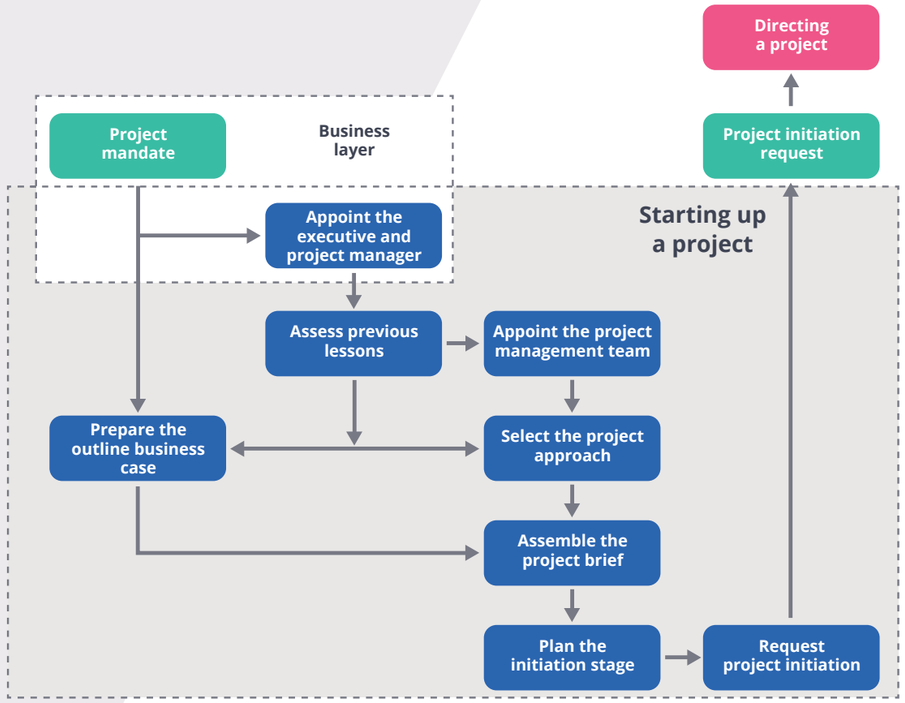


Figure 13.1 Overview of starting up a project

5.2 Directing a project

The purpose of the process of directing a project is to enable the project board to be accountable for the project's success by making key decisions and exercising overall control while delegating day-to-day management of the project to the project manager.

The objectives of the process of directing a project are to ensure that:

- there is authority to initiate the project
- there is authority to deliver the project product
- appropriate management direction and control are provided throughout the project's life
- the project remains viable
- the business layer has a connection to the project
- there is authority to close the project
- plans for realizing the post-project benefits are managed and reviewed.

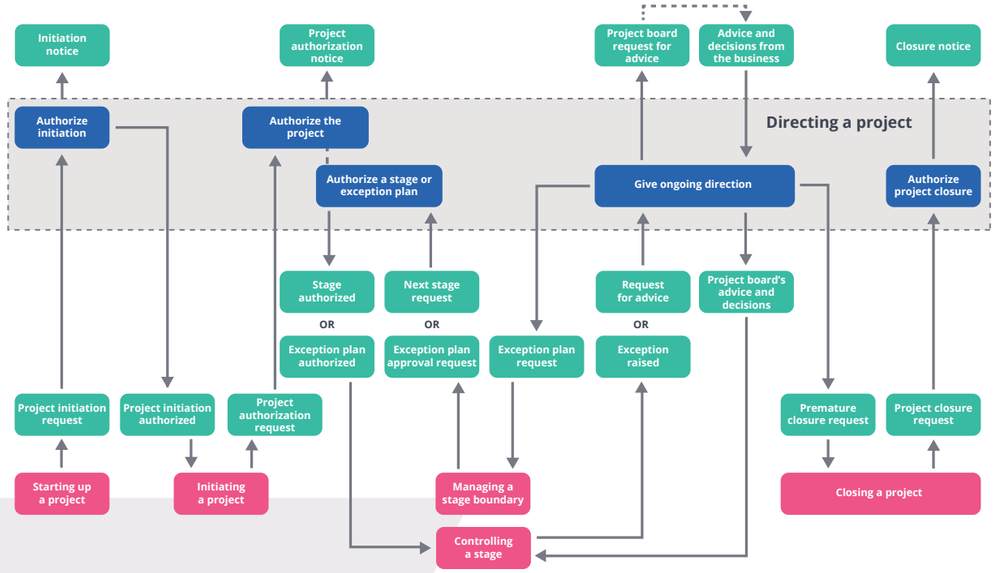


Figure 14.1 Overview of directing a project

5.3 Initiating a project

The purpose of the process of initiating a project is to establish solid foundations for the project, enabling the business to understand the work that needs to be done to deliver the project product before committing to any significant expenditure or resources.

The objectives of the process of initiating a project are to ensure that there is common understanding of:

- the reasons for doing the project, the benefits expected, and the associated risks (documented in a full business case)
- the scope of what is to be done and the products to be delivered
- how and when the products will be delivered and at what cost
- who is to be involved in the project decision making
- how the quality required will be achieved
- how baselines will be established and controlled
- how risks and issues will be identified, assessed, and controlled
- how progress will be monitored and controlled
- who needs information, in what format, and at what time
- how the project applies business policies, methods, and guidance.



The full **business case** will be used by the project board to authorize the project. It provides the basis of the ongoing check that the project remains viable.

The **Project Initiation Documentation (PID)** is an aggregation of many of the management products created or updated during initiation and used to gain authorization for the project to proceed.

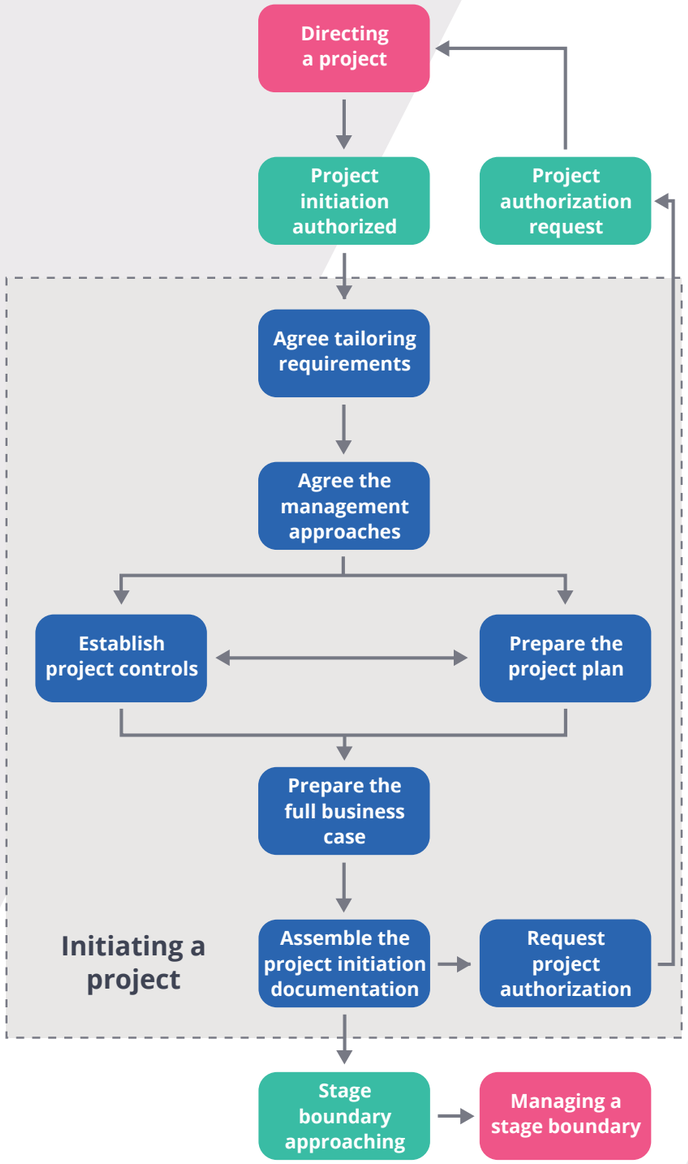


Figure 15.1 Overview of intiatiating a project

5.4 Controlling a stage

The purpose of the process of controlling a stage is to assign work, monitor such work, handle issues, report progress to the project board, and take corrective actions to ensure that the stage remains within the tolerances set by the project board.

The objectives of the process of controlling a stage are to ensure that:

- attention is focused on delivery of the stage's products; any movement away from the products and delivery method that was agreed at the start of the stage is monitored to avoid uncontrolled change
- risks and issues are controlled
- the business case is kept under review
- the agreed products for the stage meet the agreed quality expectations and are accepted
- the project management team focus on delivery within the established tolerances.

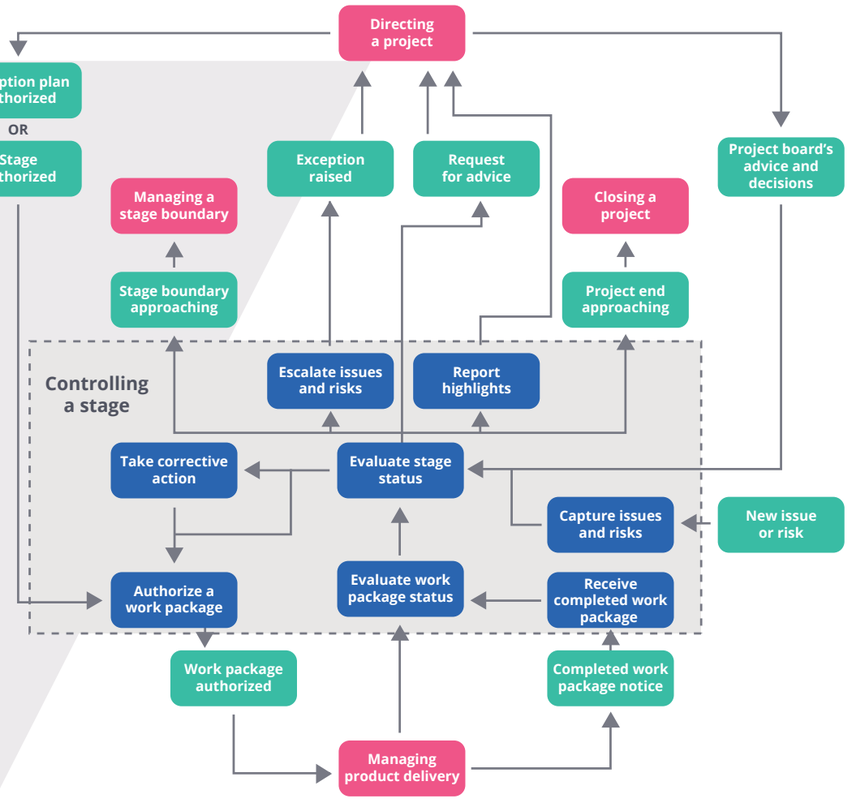


Figure 16.1 Overview of controlling a stage



5.5 Managing product delivery

The purpose of the process of managing product delivery is to control the link between the project manager and the team manager. This is achieved by agreeing the requirements for acceptance, execution, reporting, and delivery of specialist products.

The objectives of the process of managing product delivery are to ensure that:

- work on products allocated to the team is authorized and agreed
- team managers and their teams are clear as to what is to be produced and what the expected effort, cost, and timescales are
- the planned products are delivered to quality expectations and within the tolerances
- accurate progress information is provided to the project manager at an agreed frequency to manage expectations.

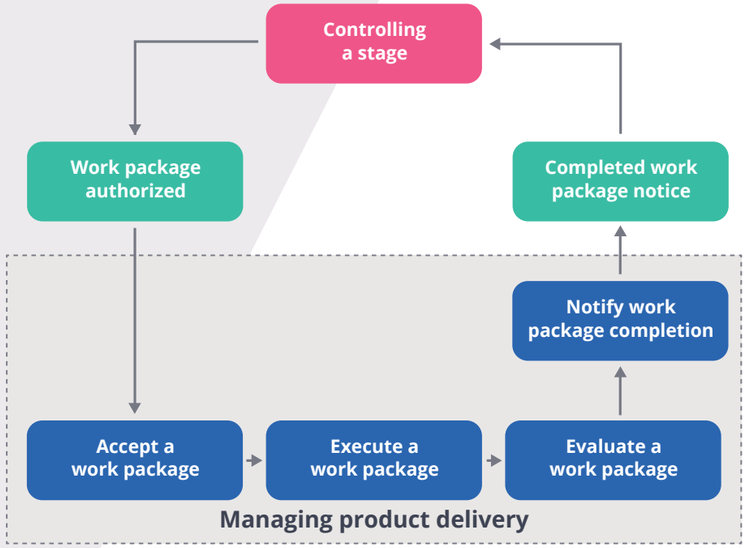


Figure 17.1 Overview of managing product delivery

5.6 Work-package description

The purpose of a work-package description is to describe how one or more products will be produced and delivered. It is used to pass responsibility for work formally to a team manager or team member.

5.7 Managing a stage boundary

The purpose of the process of managing a stage boundary is to enable the project manager to provide the project board with sufficient information to be able to:

- review the success of the current stage
- prepare the next stage plan
- review the updated project plan
- confirm continued business justification and acceptability of the risks.

Therefore, this process should be executed at, or close to, the end of each stage.

The objectives of the process of managing a stage boundary are to:

- assure the project board that all products in the current stage plan have been completed and approved
- prepare a stage plan or exception plan for the next stage
- review and if necessary, update the project initiation documentation, in particular the business case, project plan, user's quality expectations, management approaches, project management team structure, and role descriptions
- provide the information needed for the project board to assess the continuing viability of the project
- record any information or lessons that can help later stages of this project or other projects
- request authorization to start the next stage.

For exceptions, the objectives of the process of managing a stage boundary are similar to those listed above but include preparing an exception plan and seeking approval to replace the project or current stage plan with the exception plan.



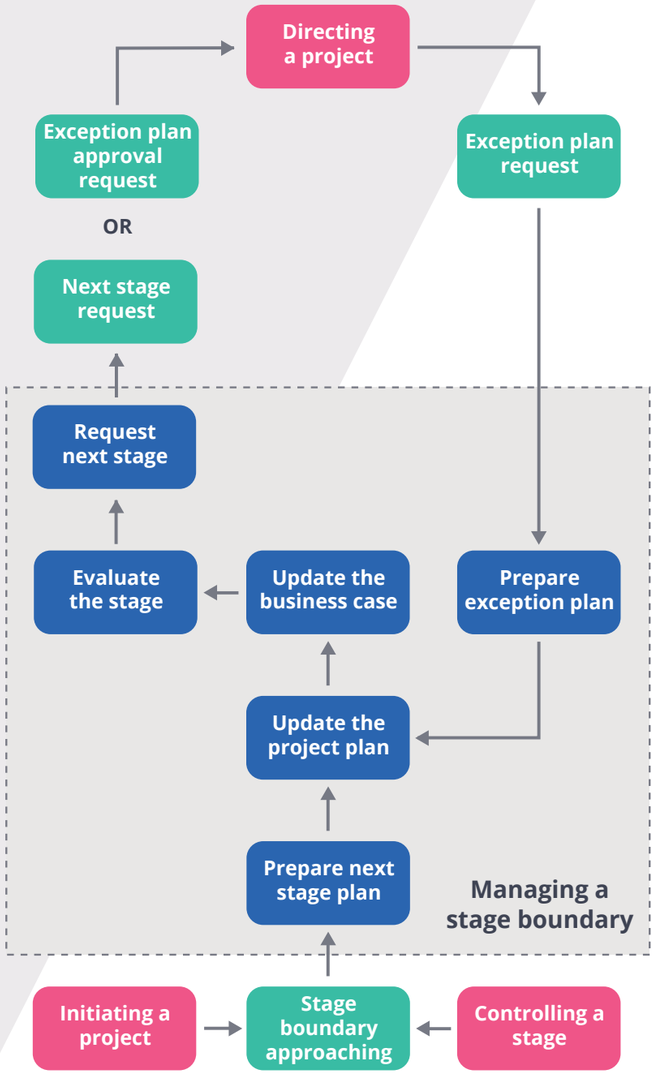


Figure 18.1 Overview of managing a stage boundary

5.8 Closing a project

The purpose of the process of closing a project is to provide a fixed point at which acceptance of the project product is confirmed. It also provides a point to recognize that the objectives or the approved changes to the objectives, as established in the PID, have been achieved.

Where there is a cause for premature closure, this process ensures the project is closed in an orderly way.

The objectives of the process of closing a project are to:

- check user acceptance of the project product
- ensure that the business can support the products when the project is closed
- review the performance of the project against its baselines
- assess any benefits that have already been realized, and update the benefits management approach to include any post-project benefit reviews
- ensure provision has been made to address all open issues and risks, with follow-on action recommendations
- ensure the project is closed in an orderly way and not simply abandoned (in the case of premature closure).

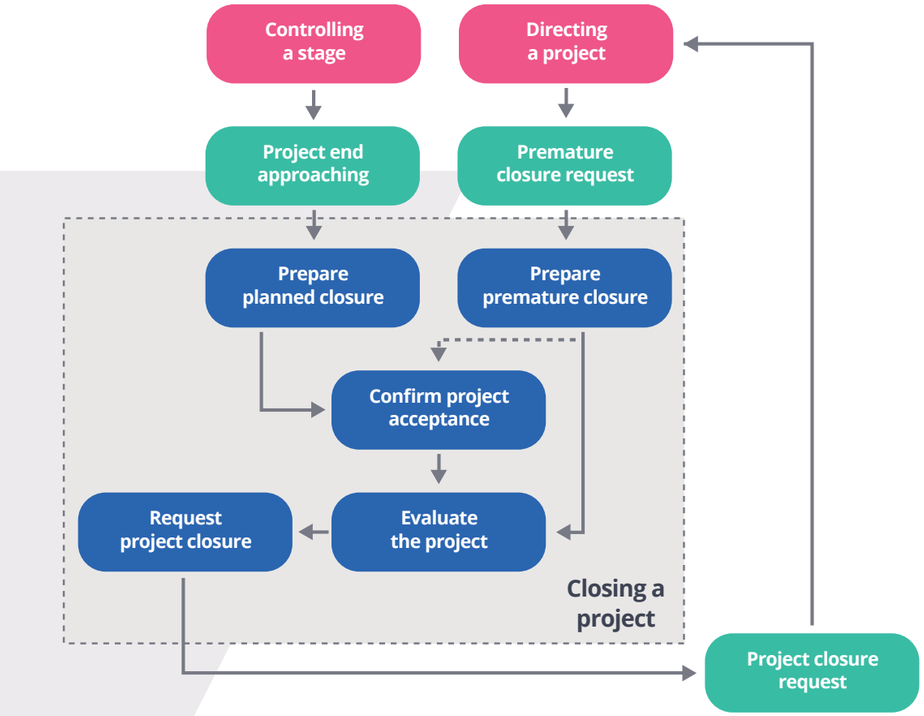


Figure 19.1 Overview of closing a project



Notes

PRINCE2®

THE LANGUAGE OF SUCCESS

Thank you for completing the PRINCE2® Project Management Foundation course

Please take a few minutes to give us your feedback on your experiences from the course by completing the online course evaluation survey here.

Discover more

ESG Commitment

PeopleCert is accredited by Lloyd's (UK) in accordance with ISO 14001 for Environmental Management, since 2006. Recognized through numerous awards, we remain committed to ESG leadership and the preservation of our planet.